Every family member should understand how money works—how you earn it, save it, and manage it. Investing in financial education is another crucial step toward successfully preserving wealth.

This is very different, however, from formal college training in economics or finance. Instead, get your family together often. And get it to pay attention to the investment performance of your funds. The members should take an interest—and, hopefully, satisfaction—from your investment progress. This will focus their attention on what you're doing and give them a sense of purpose.

So how do you get future generations to learn about managing money?

- You give them a baseline education in personal finance and investing through courses, books, and web sites.
- You give them responsibility, such as a role in the family office or as a member of the investment committee.
- You bring them into the picture of family finances—as early as possible.

The best time to take these steps is when your children are in their early teens. It sounds strange, but you want to give them responsibility earlier than you think they are ready for it. Plus, take your children to investment programs. Read and discuss investment books. Critique popular theories and fads. Do not invest in what Wall Street considers "conservative." But operate your investment committee very conservatively.

THE WEALTH STRATEGIST IN EACH GENERATION LEADS THE COMMITTEE

Just like the Family Council, the investment committee needs a leader. Usually, the wealth creator of the first generation becomes the wealth strategist for the investment committee. Someone in each subsequent generation must take over that role.